

Multiple Choice

1. **Answer:** D

Options: A) the industry contracts as firms exit the market.; B) the industry expands as firms exit the market.; C) the industry contracts as firms enter the market.; D) the industry expands as firms enter the market.

Note: Correct option: D - the industry expands as firms enter the market.

2. **Answer:** C

Options: A) inflation falls and unemployment rises.; B) inflation rises and unemployment falls.; C) inflation and unemployment both rise.; D) Inflation and output both rise.

Note: Correct option: C - inflation and unemployment both rise.

3. **Answer:** D

Options: A) a demand curve.; B) a marginal benefit curve.; C) a linear production possibility frontier.; D) a concave production possibility frontier.

Note: Correct option: D - a concave production possibility frontier.

4. **Answer:** A

Options: A) A government subsidy.; B) A government tax.; C) A higher price.; D) A lower level of output.

Note: Correct option: A - A government subsidy.

5. **Answer:** B

Options: A) is primarily concerned with money.; B) is primarily concerned with how resources are used.; C) relies solely on the scientific method for analysis.; D) is primarily concerned with maximizing spiritual well-being.

Note: Correct option: B - is primarily concerned with how resources are used.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'government spending exceeds tax collections for a given period'.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Interest rates will remain relatively constant.'

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'I and III only.'

Long Form Response

11. **Answer:** It will be located below the equilibrium price.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** The nominal interest rates falls.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key